converted as shares. It is also known as scrip issue or capitalisation issue.

Sweat Equity Issue

Sweat equity issue denotes the offer of shares to employees or Directors of the company which issues shares as recognition of their hard labour (sweat), which results in contribution to the company in the form of intellectual property rights, technical know- how, etc. It is usually issued at a discounted price. The Companies Act 1956 observes as follows: "Sweat equity shares means equity shares issued by the company to employees or directors at a discount or for consideration other than cash for providing know-how or making available rights in the nature of intellectual property rights or value additions, by whatever name called."

There are two other ways of incentivising the employees and directors of the company. They are Employees Stock Option Scheme (ESOS) and Employees Stock Purchase Scheme (ESPS). Under the ESOS the whole-time Directors, Officers or employees of the company are given an option to purchase the shares of the company at a future date at a predetermined price.

Under ESPS only the employees are offered shares as part of public issue or in some other way. Usually the share cost is deducted from the salary between the offer date and purchase date.

Old Issue Market

As already said, Old issue/Secondary market is a medium for buying and selling of securities issued in the New issue market. Stock exchange is synonymously used for Old issue market. But it is wider than that. There are two trading media in this as shown in figure 8.3.

Figure 8.3